

NETS 1500 – Homework 5 – Theory

Due – April 29, 2026 at 11.59pm

Part 1 – Theory (15 points) – Individual

Regardless of whether you're doing team or individual projects, the theory part must be done independently.

Please do the following problems:

1. Two business partners are dissolving their startup. They must divide a total of \$150 between them. Each partner independently decides whether they need to hire a financial consultant, who charges a fee of \$40. If neither partner hires a consultant they split the money evenly and each receives \$75. If both partners hire consultants, they still split the money evenly, but after the fees they end up with \$35 each. If only one partner hires a consultant, that partner negotiates a better deal and receives \$95, but after the consultant fee keeps \$55, and the other partner receives \$55.
 - 1.1. Draw the payoff matrix (2 points)
 - 1.2. Is it true that each party is better off not hiring a consultant regardless of what the other does? (3 points)
2. Exercise 6.11-4 from the class textbook (Easley and Kleinberg). (5 points)
3. Exercise 6.11-6b, c from the class textbook (Easley and Kleinberg). (5 points)

Extra Credit (10 points) – Individual

Please do the following problems:

1. Find the IEDS solution to the following game: (4 points)

1/2	P	C	W
S	9, 4	3, 8	4, 2
R	5, 1	6, 7	7, 3
B	2, 9	4, 6	8, 0

2. Exercise 6.11-15 from the class textbook (Easley and Kleinberg). (6 points)

As always, for the EC part, you cannot have any help from the TAs/instructor.

Submission Instructions

Please submit a PDF file via Gradescope.